Mohnish Pabrai's Session with Investment Club at Copenhagen Business School on August 25, 2026

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Gowzican: We are so excited to have you here. My name is Gowzican. I am speaking on behalf of the CBS Investment Club at Copenhagen Business School. The CBS Investment Club is a club run by students. It is an investment fund focused on Nordic equities—gathering students from across the university interested in the markets and capital allocation. For those of you who do not know Mohnish, he is the founder and managing partner of Pabrai Investment Funds. He is also the CEO of Dhandho Funds and the author of The Dhandho Investor. Moreover, he has some philanthropic activities. He is the chairman and founder of the Dakshana Foundation, where he gives impoverished children in India opportunities to study at IIT, which is equivalent to MIT in the US. Mohnish, let us go straight to the Q&A session.

My first question for you is: What advice do you have for students who want to go into the investment management business and try to emulate maybe what Buffett has done?

Mohnish: The first thing I would suggest is that you need to have solid evidence that you are a good investor and that you are likely to be a good steward for other people's hard-earned money.

The best way to accomplish that is to have an auditable track record that you have built over a few years with your own funds. What I would recommend is to have a brokerage account that is dedicated, where you are not writing checks here and there, but where, later at some point, that account can be handed over to an audit firm and they can relatively easily come up with an audited record of what the returns have been. The first thing is that there should be some reasonable period of time (5, 10 years or something) where you have built a record and you convinced yourself that you are good at this, and then after that if that goes well, you go on to convince folks to give you money to manage. On that front, you put your energies behind friends, family, and fools—and the most important are the fools.

Gowzican: Interesting. My next question for you is: How do you deal with management when researching a company? They are often good at sales and charismatic people. How do you manage that?

Mohnish: You can understand the nature of management by looking at the historical track record. This track record is public. If that team and CEO have been in that position for a while, then you have some pretty solid data points of what they have done in the past, and that should give you a good indicator of what is going on. You can also talk to competitors to see what they think about the company and the individuals. You can get a good feel for all of that. You do not necessarily need to be interacting with management to get a view. In fact, interacting with management might create distortions, whereas you might get a cleaner view from looking at the history and track record.

Gowzican: Interesting. My next question is: You have a big part of your US portfolio in Micron, if I remember correctly. What did you learn from selling Micron early?

Mohnish: That was the investment I had made with Li Lu, who manages some money for Charlie Munger. Li Lu and I discussed it with Charlie. The investment was made around 2017, and we exited in 2023. I do not have any regrets about the exit because it made sense with the data we were seeing. Of course, it has gone up a lot since then.

But the premise of the Micron investment was that there was a rational oligopoly of three players, SK Hynix, Micron, and Samsung, that controlled the memory market. The barriers to entry are extremely high for a fourth player to get scale in the memory business. There are a lot of patents, processes, capital, and different impediments to a fourth player having any chance of making it. We had a market with three players, and from what we could tell, the three players were acting rationally in the sense that they were all profitable, making money, and they were not trying to beat each other up.

One of the things I had discussed with Charlie is whether these oligopoly situations were stable in terms of cash flows and business prospects or whether there were issues to be concerned about. Charlie said that Warren Buffett had studied a large number of Coke and Pepsi bottlers in various U.S. cities and countries around the world. That is an oligopoly situation with two players. He said that in probably 95 or 97% of markets, the Coke and Pepsi bottlers in a particular geography acted rationally, and both bottlers made money. But he said there were 3 to 5% of markets where one of the players decided that they wanted to increase market share. They became more aggressive with promotions and pricing. Of course, the second player has to respond to that. Even though there is brand loyalty, if I go to pick up a 12-pack of Coke and the 12-pack of Pepsi is 30% cheaper, I would switch. There is brand loyalty, but it is not extreme brand loyalty. In these markets where these players were trying to take more market share from the other player, nobody made any money because it was a race to the bottom. The other person also reacted, and then pricing went down and got more aggressive. You end up with markets where normally having a Coke

bottler is a license to print money, but you would end up with markets in 3 to 5% of cases where nobody made money.

In the Micron oligopoly situation, it was similar: these three players, from what we could tell in 2017—and I met with all three players, made several trips to Seoul, met with Hynix and Samsung, and also met with the senior management at Micron—understood all that, and they were not going to be acting irrationally.

But then in 2023, there was a change when Samsung had half the market, 50%, and the other two players had approximately 25% each, and Samsung decided that they wanted greater market share. They got more aggressive with pricing to take more market share. Of course, the other two players, SK Hynix and Micron, had to react and respond.

What happened in 2023 is that all three players lost money, and what was a rational market suddenly became an irrational, unpredictable market. By then, the stock we had bought had approximately doubled. It was not a great return, but it was kind of a low-teens annualized return from when we had bought, and the future was murky. We could not tell, and we were looking at negative cash flows. I decided to exit. Li Lu exited around the same time. Then, of course, two or three years later, we had the AI boom, and things went the other way, where now it does not matter whether the players are rational or not. They are not able to keep up with demand. They are all trying to produce full-out with the AI.

It is the way it is. The investing business is an extremely forgiving business. One can and will be wrong the majority of the time. And even if one is wrong, the majority of the time, the results may be more than acceptable if you are following some rules.

Let me give you an example. In the late '60s and early 1970s in the U.S., there was a concept known as the Nifty 50. The Nifty 50 was an approach to investing where the idea was that you bought equal amounts invested in the 50 strongest, most blue-chip companies in the U.S. You would take a portfolio and put 2% of the portfolio into American Express, 2% in Coca-Cola, Pepsi, GE, Kodak, Boeing, McDonald's, Polaroid, and so on. You would not care about the valuations, not care about anything; hold these great businesses, and the end result would be good. What ended up happening is that in 1973 and '74, these companies got bid up to spectacular levels, like 50, 60 times trailing earnings. They got expensive. In '73 and '74, there was a stock market crash in slow motion where over two years the U.S. stock market went down more than 50%, and the Nifty 50 went down a lot more than that. It got taken out back and shot. The Nifty 50 was probably down like 60, 70%, and by 1975 no one had any interest in the Nifty 50. Everyone had sold the Nifty 50 position they had at steep losses.

There is some controversy over whether Walmart was part of the Nifty 50 or not. But to help me make my point, let us make the

assumption that Walmart was part of the Nifty 50 and that one had put 2% of the portfolio into Walmart. Let us assume that the people who invested in the Nifty 50 did not touch it or sell it in the '73, '74 downturn or from then until now. They kept the whole thing and did not make any trades. Let us also make an extreme assumption that every holding in that Nifty 50 went to zero except Walmart. You made an investment in a portfolio of 50 stocks. 49 stocks have gone to zero, and only one stock that you bought, which is Walmart, does what it did. If you looked at the returns from 1972, when Walmart went public, to 2026 (54 years), including reinvested dividends, Walmart has delivered about 15 or 16% a year annualized, and the S&P 500, 15 or 16% a year. Starting with 2%, what I am saying is that with that 98% going to zero and the S&P having the entire 100 cents, the Nifty 50 portfolio with a 98% error rate blew out the S&P by about 5% a year, with 49 out of 50 stocks going to zero.

Now, of course, 49 out of 50 stocks did not go to zero. We still have McDonald's, AMEX, Coke, and a lot of the other businesses. But many of the stocks did go to zero, like Xerox, Kodak, Polaroid, and Digital Equipment. But it did not matter. The bottom line was that one holding was enough to offset all the other losses. If we study stock markets for a long period of time, let us say over the last 100 years, for example, the US markets, what we find is that all the returns of the equity markets have come from 4% of the stocks. The remaining 96% of the stocks have done nothing. They have gone to zero or done nothing. All the returns (that 9, 10, 11% a year that we get) have come from 4% of the equities. The important thing was not to buy Walmart. The important thing was not to touch Walmart, to never sell it, no matter what was happening, no matter what the company said and what they reported. You kept it.

The Walton family owned 46% of Walmart when it went public in 1972. After 54 years, they own more than 46% of Walmart. The Walton family has never sold Walmart in 54 years. Because Walmart has bought back shares, they own a higher percentage of the company. They followed that principle of holding, but no institutional investors held Walmart for 54 years.

The important thing with investing is what Charlie Munger said is, in a lifetime, we are going to get a few trips to the pie counter. When we get a trip to the pie counter, we have to load up on a lot of pie and then try not to drop that pie till you get back to your table. Someone asked him once, “How can one be good at selling?” His response was, “Do not worry about becoming good at selling. Worry about becoming good at finding Costco's.”

We can be useless at selling. We can sell nothing. We can have a high error rate, as long as we recognize that something in our portfolio is truly exceptional. It could be a small part of the portfolio like Walmart at 2%. But when we find ourselves in the lucky situation of partial ownership of a great business, do not sell that business because it looks fully priced. Do not sell that business when it looks overpriced.

If that business possibly gets egregiously overpriced, one could think about selling it.

In 2018, I had noticed that the Turkish stock market was screening ultra-cheap. In fact, the cheapest in the world. I do not know anything about Turkey, like I know nothing about Copenhagen. But I have a good friend in Istanbul, who is now the second-largest equity fund manager in Turkey. He is a Ben Graham disciple. I told him, "I would love to visit Turkey, and I would love to visit the companies in your portfolio. Would you be open to that?" He said, "Oh, this would be a lot of fun, Mohnish. It would be great." I made a trip to Turkey with nothing in mind other than trying to learn a bit more about this alien market and alien place. He sent me a list of companies that we were going to visit, and I never looked at the companies or studied them. I said that I would look at the businesses after I had met with them. If I met with the company and I saw something that looked interesting, then I would start doing research on them. What I was doing was that when we were driving to the business, I would start asking my friend questions about the business. I did not appear total village idiot at the meeting. I at least knew something about the business.

The second year I visited Turkey in 2019, we were driving to this company, and I started asking my friend questions about it. He said, "The market cap is $15 million, and the liquidation value is $800 million." I asked him if this was a fraud. He said, "No, it is not a fraud. It is a simple, basic company. They rent warehouses, and I own the business. I have a stake in the business." I asked him why it was so cheap. He said, "Well, everything in Turkey is cheap." I had visited companies with him where the P/E was 0.1 (not a P/E of one; P/E of 0.1). The company is trading at 1 month's earnings. I had seen extreme stuff in Turkey.

When he told me everything in Turkey is cheap, I shrugged. He is right. Everything in Turkey is cheap because no one is interested. Currency is unstable; inflation is out of control, all of this stuff.

I met the company's founders, the father and son who run it. They seem like smart business people. I visited the warehouses that afternoon. They looked spectacular. They were prime. Things were exactly like he was saying. He said you could go to any commercial real estate broker in Istanbul, show them the portfolio, and they would tell you the portfolio is worth a billion dollars. There is $200 million of debt, so it is worth $800 million. The market cap is like $15 million. I was concerned because I was managing about $600 or $700 million. How much stock can I get? It is such a small company. But Turkey is a market of gamblers with high trading volumes. Everyone buys stocks at 10 o'clock, and they sell at 3 o'clock, and they want to make 10%. That is their business model. Buy at 10 o'clock, sell at 3 o'clock, make 10%. Good luck with that.

Buffett has a quote that the stock market is a mechanism to transfer wealth from the active to the inactive.

When I started buying the Reysas shares, I saw that the volumes were extremely high. The average public company in Turkey cycles through its float every 17 days, with high trading volumes because it is all gamblers and day traders. For $8 million, I got 1/3 of the company. I bought some more, and now we have a little over 41% of the company. The market cap of the company now is $1.8 billion dollars. The $15 million market cap in 2019 is a $1.8 billion market cap in 2026. The Turkish lira, which was 5 liras to the dollar in 2019 when I was buying, is more than 48 liras to the dollar. The lira has collapsed. It has gone down by more than 90%. But in dollars, we have more than a 120x return in 7 years.

What I did not realize when I was buying the business is that my plan was okay; it is worth $800 million. When it gets to $600 or $700 million or something, we will sell it. From $15 million to $600 million is a pretty nice ride. I was fully aware that Turkey has high inflation and an unstable currency being devalued a lot. But I remembered this story. Someone had told me once about the Coca-Cola company. Someone said that, let us say there is a global thermonuclear event. All the nukes owned by all the countries in the world are set off. Out of 8 billion humans, 99% are dead and gone. We have $80 million humans left. Everything is decimated. Someone somewhere creates a Coke bottling plant to start producing Coke for his fellow $80 million citizens. There is no currency. But people would be willing to trade 15 minutes of their labor for an 8-ounce serving of Coke. It does not matter if the currency is seashells or lira or dollars or cigarettes. There will be a trade available for one cigarette for a Coke or something like that. The Coke business would come back to serve the $80 million. Regardless of the currency, they had figured out the currencies.

When I looked at the Turkish warehouse business, I thought, “What is a warehouse? A warehouse is land, cement, steel, concrete, and some paint. That is what a warehouse is.” Every one of those things is inflation-indexed automatically. They can do whatever they want to the lira. The land will cost more lira, and the paint is going to cost more lira. It is going to naturally move because that is the way the world is. It is going to move with the lira. To me, when I am buying a prime warehouse in a prime city of the world like Istanbul, it is automatically inflation-indexed, whatever their rents were. I did not have any concern. I specifically looked at businesses in Turkey where the currency and inflation are irrelevant. I said, “Bring it on. Bring on 1000% a year of inflation. I am ready. Bring it on. You bring on whatever inflation you want, because I have hard assets that will react and adjust accordingly.” I made the bet. What I did not realize when I made the bet is that the father and son who ran this business were exceptional capital allocators. They do not invest capital if they do not see a return in dollars or euros and that all their money comes back in 2 or 3 years. They have a simple way of thinking about things. If the return on investment is not more than 25 to 35% a year in dollars or euros, they are not interested. A business that was worth $800 million in 2019 is now worth $3 billion. Again, I can do the same math.

I go to a broker in Istanbul and show the portfolio. They are going to say, "This portfolio is worth like $3.4 billion, and there is $400 million of debt." The market cap is $1.8 billion. The liquidation value is $3 billion. That $3 billion liquidation value is compounding at, let us say, 15 to 30% a year.

We had a trip to the pie counter, the first one being Micron. On the way back, the pie got dropped on the floor, and it was no longer edible. We were only able to get a double return on the money, and the rest of the pie was swept up in the garbage. But then there was a second trip to the pie counter. What am I supposed to do with Reysas in Turkey? What I should do is spend all my time talking to the students at the Copenhagen Business School and leave the Reysas position alone. Like Charlie says, "Do not interrupt compounding unnecessarily." Now I manage a little more than $1.4 billion. The Reysas position is $500-$550 million.

There are a few other irons in the fire that I do not think are going to zero. My main job description is to not do any trades. It is to sit there and watch the pie. Next month, I am going to Istanbul. I go to Istanbul once a year in September or October and meet with the founders of Reysas. They own 44% of the company. My investors and I own 41% of the company. I tell them, "This is our family business. Your family and my family. I know we did not start as business partners. I know that you are the founder, and we have subsequently bought in. We do not want any board seats. I do not need to tell you anything because anything I tell you about how to run the business would make the business worse. Because I am so stupid at everything and you are so good at everything."

We go eat blue fish at a Michelin-starred restaurant overlooking the Bosphorus. It is a nice dinner. I pat them on the back, and I say, "Keep doing what you are doing, and I will see you next year." That is my job description. We are done. I hope they stay in the saddle, and I hope they run that business for 20, 30, 40 years or more. Recently, I have noticed that the son has been bringing his 11-year-old son to various business meetings. I said, "Amen." Let us get the next generation ready so that after 40 years, the compounding can continue.

Gowzican: Interesting, Mohnish. We have a question from Will Hansen, who is also a member of the Investment Club. His question is: One of your most recent investments is Kaspi in Kazakhstan, which appears to be an exceptional business. With a strong management team, high growth, excellent margins, and a monopoly-like competitive position. A comparable business in the US or in Western Europe might trade at more like 30 times earnings, whereas Kaspi is trading at around 9 times trailing earnings, largely reflecting the geographic exposure to Kazakhstan. Could you briefly introduce the company for those unfamiliar with it? How do you assess the company risk premium embedded in its valuation, both in Kazakhstan specifically and when investing in emerging markets like Turkey in general?

Mohnish: We talked about the Nifty 50, and we talked about the 50 bets. We also talked about being Rip Van Winkle and going to sleep for 20 years.

The situation with Kaspi is that there are two or three Harvard Business School case studies on the founder of Kaspi. If you go on the HBS publishing website and pay $ 12 or $13, you can buy those case studies. I will not tell HBS if you make copies for yourself and violate their rules of use. That will be between us. You can download those cases for $10 to 12, maybe $40 spent in total, and you would get a history of the man who is the founder of Kaspi. You can also look at the track record of the founder of Kaspi. I am studying the company. What they have done and what they have accomplished is remarkable. It is such an outlier, an extreme result. It is a great story. If you read those HBS cases, he took a failing bank and he converted it into a thriving fintech. They have 15 million users in Kazakhstan out of a population of about 20 million. They are pretty much a monopoly, a dominant player, like Tencent is in China.

If you go on YouTube or to God Google, you can pull up some interviews he has given. He wants to get to 100 million users. He has entered the Turkish market, and the company he bought has around 10 million users. He also bought a bank in Turkey. They are trying to replicate the playbook. He plans to replicate this in multiple countries, not only Turkey. We do not know what the trajectory is. We know that the guy has an exceptional track record. The company is relatively cheap based on what is currently in place. There is a moonshot. We do not know whether the moonshot happens or does not happen. That does not matter.

We have an investment in a company in Turkey, which is like the Costco of Turkey. That is almost like a venture investment. They only have two stores. We do not have a lot of tread marks. I met the guy who runs the company. I visited the two stores, and I was blown away by the economics of those stores and how mobbed they are with customers, with no parking and everything. I said, “Okay, let us make a bet on this guy,” because it was cheap at that time. They had $70 million of extra real estate, and the market cap was $70 million. The business was free. We own over 30% of that business now.

I do not know what happens with Kaspi. I do not know what happens with the Turkish Costco. I also do not know what happens with Reysas in the future. But we make these bets. They seem to be asymmetric bets. If all of them work. then Mohnish is going to be on a different planet. But even if some of them work, or even one of them works, we are okay. We keep looking for needles in haystacks. Every one, two, or three years, we might find one, two, or three things, and then we will see if it is worthwhile to make a bet. That is the situation.

Gowzican: Very interesting. My next question is: How do you think about position sizing?

Mohnish: The position sizing question is a great question. When we look at the Walton family, which had 46% of Walmart when Walmart went public and something like 99% of their net worth in Walmart, from then till now, several helpers went to the Walton family and told them, "Dear Mr. and Mrs. Walton, all the kids of Sam Walton who own the stock, you are extremely concentrated in one company. It is extremely risky. Let us put together an asset allocation plan for you that will diversify your holdings." The Walton family asked them to leave. They kept their shares. Walmart gives a dividend. The dividend might be $5 to $7 billion a year. They end up with $2 or $3 billion a year in dividends. It is enough to live on. One can live on about $3 billion a year if you have 34 brothers and sisters.

If you go to Bentonville, Arkansas, which I would highly recommend as a place to go on vacation, the Walton family has dumped money into various civil projects there. They have transformed the place. Amazing bike paths, incredible museums that go toe-to-toe with the best museums in the world, walking paths, and infrastructure for the community to enjoy parks and soccer fields. They have transformed the place. Billions of dollars have gone into Bentonville, Arkansas. I wish I lived there. When I grow up, hopefully I will be living in Bentonville, Arkansas without having ever having owned a share of Walmart stock.

The Walton family decided we do not need to diversify.

Now we come to Pabrai Investment Funds, and we have three stocks in Turkey that make up like 65 or 70% of the funds I manage. These are not my funds. I have investors. I tell my investors, "Dear investors, Mohnish is not going to sell any of these things. He is not going to diversify." In the end, if things work out properly, 95% may be Reysas. Reysas may be a $20 billion market cap. We may have $8 billion in Reysas out of $9 or $10 billion in assets at some point, hopefully. We are not going to be selling an undervalued asset so that we are diversified. I said, "You are dealing with a nutcase. Let me explain to you how you should deal with the nutcase. If you have less than 20% of your total net worth with me, you have nothing to worry about. Because what that means is you have no more than 10% of your net worth in one particular company, and 80% is outside of me. I cannot make you poor. Even if I tried, I cannot. If you have more than 20% with me, you can sell. You can redeem some of your interest and take it down to 20%." I send this note to them every quarter, in case they forgot to read it one quarter. I have around 300 families invested with me. I get no phone calls. I get no emails. I get no pulse. They all seem to be extremely happy. I get no redemption requests. This is the way life is.

If you go into the investment business and after 20 or 30 years, 90% of your portfolio is not in one stock, you have badly made a loss.

Gowzican: Thank you. I see that a big part of your public ETF has a large bet on Constellation Software companies. What do you see in those companies that you think the market is missing?

Mohnish: These are like the Kaspi and other bets in the sense that we do not know what is going to happen. We like the DNA. Constellation has a long track record that one can look at. Mark Leonard is a one-of-a-kind leader who has transferred his DNA to the companies. They are exceptional capital allocators. That will continue in the future. After the AI threat, the stock got taken out back and shot. When that happened, I got interested because now it was relatively cheap versus where it had been historically trading. We make the bet like we make the Kaspi and the Turkish Costco bets. We do not know which ones work, how well they work, and which ones do not work. The most important thing is to set it and forget it. Do not make any changes. Sit there and let them do their thing. That is it.

Gowzican: We have a question from Jakob Wilkin.

Johnny: I am Johnny from Frankfurt, and I wanted to ask you about Reysas. I see that in the last quarter, you sold around 21 million shares, and you have spoken a lot about it now. I wanted to hear, now that you are an established investor, when people see you invest in a company in an emerging market, do you not think that part of the difference in the gain afterward is also other investors thinking that you have a good history? They will also put their money into the stock that you have chosen. Also, why did you decide to sell a bit of your position here now?

Mohnish: Reysas has two companies. There is a holding company, Reysas Logistics, and there is a REIT called Reysas REIT. We used to own almost 33% of Reysas Logistics, the holding company. The founding family, subtly, gave us a hint, saying, "We cannot officially tell you anything about your holdings, but we would be more comfortable if your stake in the holding company was kept to a maximum of 30%." I said, "Do you care how much of the REIT we own?" They said, "Not at all." The holding company owns 62% of the REIT. Whoever controls the holding company controls the REIT. We used to have about 33% of the holding company and a little less than 5% of the REIT. Collectively, let us say 38%. Now we have 30% of the holding company and 11% odd of the REIT. We increased our overall stake. The tailgating that takes place that you are referring to: in the long run, stocks are weighing machines. They are not voting machines.
We also have investments in other positions in Turkey and elsewhere where we do not have tailgating. Somehow the people think that this manager is good on investment A, but maybe not so good on investment B. In my opinion, the Reysas position going from $15 million to $1.8 billion is not tailgating. It is a weighing machine because now they can sell the business in 5 minutes at $3 billion if they want to. That $3 billion is compounding at 15, 20, or 25% a year. In fact, from my point of view, the weighing machine has not fully kicked in. I believe that a business like Reysas should not be valued at a liquidation value of $3 billion. It should be valued at a premium to liquidation value because there is a compounding engine built in. If a business is compounding and has shown historic compounding at 15, 20, 25% a year for a long period of time, and the asset is worth

$3 billion, an investor coming in should be willing to come in at $3.5 or $4 billion if they believe that compounding will continue. In my opinion, Reysas is deeply undervalued.

Also, one of the things that I am grateful for is that I mentioned that a business should not be sold until it is egregiously overvalued. I hope and pray that Reysas never gets egregiously overvalued because what would happen then is that compounding would get interrupted, which is terrible. Let us say, for example, Reysas has a $3 billion value, and let us say the market value tomorrow goes to $8 billion. In my opinion, that is egregious. That is clearly in egregious territory. But I also know that the son is 41 years old. If he is allowed to run this thing for 30 or 40 years, compounding at 15% or 20% a year, the value of that business may be well beyond $8 billion in that period of time. It is possible to be $20, $30, $40 billion, and we sell at $8 billion; we pay taxes, and then we get to find something else. That would be a terrible outcome. With Reysas, what has happened is that it has become clear to me that God truly loves me because what God has done is keep the value below liquidation value. When it is below liquidation value, it is the easiest stock to hold.

The Walton family holding Walmart has a difficult job because they look at a stock that is at trailing earnings of 25. Is that undervalued? I am not sure. Is it overvalued? Maybe. Is it fairly valued? Maybe. I do not know where it is. What I am saying is that it is a harder thing to value. This has been so easy to hold for 7 years because it has always been below liquidation value. I hope it always stays there because if its liquidation value goes to $5 billion and the market cap is $3 billion, what do I do? Keep it. Liquidation value $10 billion, market cap $7 billion. Keep it. I hope it does not go the other way because it is the easiest thing to keep. That is how I think about the business. I do not think the market is driven by the court tailors and all that. In the end, it is a weighing machine.

Gowzican: Thanks. Mohnish. We have one last question from Anthony.

Anthony: Thank you for taking the time to speak with us. My question is predicated on the idea that, as you say, the long-run returns should equate to the returns the business earns itself. To get better at finding these Costcos, I think it goes to also getting better at understanding these return dynamics. It could be quite interesting to hear your perspective on how you look at return on capital, especially on the incremental level.

I think a good example is one of my good friends here as well, Miguel. We have been looking at this company that we think is doing about a 50% return on the capital that has been deployed, and they are reinvesting about half of that. With that math, they should be growing at maybe 20%. But when we look at the hub business itself, we think it is growing probably closer to high single digits or low double digits. That obviously creates a difference in the expected growth rate compared to what they are doing, indicating that either we have overestimated the returns or that the incremental level is

much lower. But we do not see a clear business reason for why that should be occurring. It will be interesting to hear how you think about and how you approach understanding the underlying business economics and also how you try to look at it from an incremental perspective, which is where the compounding aspect kicks in.

Mohnish: If a business is within your circle of competence, then it should be obvious to you how that business works and what kind of returns are coming out of the capital that is going into the business. If the retained earnings are being redeployed, what is the end result of those retained earnings on the business? Of course, things do not go in a straight line, and there can be mistakes. You have to look at this over some period of time.

When I look at a company like Reysas, and I look at individual deals they have done and individual things they have done and how they think about it, it has been truly exceptional in the sense that the error rates they have had are almost close to zero. I have not been able to find situations where they have outright lost a lot of money or made a dumb bet. On the other hand, there is deal after deal after deal where the returns on equity are 25% to 35%. We have also seen how the business has compounded value. The value of the business has gone from $800 million to $3 billion over a period of 7 years. That is a healthy rate of compounding over that period.

I would say that when we look at a business like Kaspi, it is a digital business. The founders own around 43 or 44%, and they have created a lot of value. They are pumping out high dividends and investing in growth. Those guys are smart operators, and if the bets work, the returns are going to come out, and all will be fine.

At the end of the day, when you look at these companies, you have to do your own analysis—you cannot take what the company is saying that we generate X return, Y return. You have to do your own analysis based on the trailing numbers and seeing what you are seeing. What you are seeing in those financials will give you a real view.

Now, if you look at a business like Amazon, what Jeff Bezos was doing right from the beginning, and even now, is reinvesting ahead of the curve in a major way. He was not forthcoming about what he was doing, partially for competitive reasons. What you would see with Amazon was almost no net income. For the first 10, 15, 20 years, they had almost no net income. Jeff knew that the company was making money, but he was reinvesting at an aggressive rate. He was also making a lot of small bets where if the bet did not work, it was irrelevant, but if it worked, it was a big deal. When you looked at financials for a company like Amazon, from the financials, you would not be able to figure out that this is a truly exceptional business. It became visible over time when those bets started paying off, and he could not keep them under the radar. Eventually, AWS came out of the radar and started to go, but they are continuing to invest.

We are not always going to be able to look at the financials of a business and be able to figure out what is going on, if that business is prudently, carefully investing ahead of the curve, and they are investing in a myriad of businesses outside their core business.

But it is a good journey. The good news is we are in a business with high error rates. If you make each bet a 10% bet, and you make 10 bets, at the end of the day, you only need one of them to work extremely well. That is a great place to be.

Gowzican: Thank you, Mohnish. We are running out of time. The final question is: I know you have spent a lot of time with Charlie Munger. I would like to know what the lesson you have learned from him that has the most impact on your life?

Mohnish: Charlie and Warren are both friends. Charlie was a much closer friend than Warren because we were in the same city. With both men, the body of work that they have in the public domain is so vast that we can learn tremendous amounts from them without ever interacting with them. That is awesome. We do not need to have a relationship with them.

Most of the things I learned from Charlie were not things he said to me. They were things I learned from observing him: observing how he was interacting with his kids, his grandkids, his daughter-in-law, his manservant, his business partners, and his friends. I learned from seeing how he lived his life on a day-to-day basis. I would go to his place and see how he was living his life. There were tremendous amounts of lessons that I learned from Charlie about that. I would notice, for example, the belt that Charlie wore on his waist had been worn out more than 10 or 15 years ago. It had gone well past its life. The guy is a multibillionaire. He could easily buy another belt, but it was not relevant to him. I would go see him, and he was wearing a Costco flannel shirt. You can buy those shirts at Costco for $10. I had asked him about that. He loved those shirts. I saw a person who was extremely wealthy, but who did not see any reason to frivolously use his wealth.

Buffett said that eventually they were able to convince Charlie to get a share of NetJets. Buffett said it was a tough sale to get Charlie to buy NetJets for private flying. I talked to Charlie about that. I said, “Charlie, you have talked to me about how you love being on Southwest Airlines, middle seat and coach in the back of the plane.” It does not bother him at all. He is a big guy. He says, “Mohnish, I was fishing in Costa Rica, and at the end of the trip I was going to fly back, and I had commercial flight tickets. I had a bad headache. I called NetJets, and $80,000 later I was home.” He decided that it would be a higher quality of life for him at that point to ignore the commercial flight he was going to take and take NetJets straight home because he had a headache. I thought that was a prudent use of money by him. Not buying the belt was also a prudent use of money. It did not make any difference to him. It was interesting to calibrate how he thought about expenditures and money.

Gowzican: Thank you, Mohnish.

Mohnish: I wish you all the best, and I hope you have a good time, and please pursue looking for needles in haystacks. If you find the right needle, your entire life trajectory and your entire future gene pool are changed permanently.

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